THE NATIONAL COMPANY LAW TRIBUNAL
CHANDIGARH BENCH, CHANDIGARH

CP (CAA) No.64/CHD/HRY/2022
(2nd Motion)

Under Sections 230 to 232 of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

IN THE MATTER OF SCHEME OF AMALGAMATION BETWEEN:

McKinsey Global Services India Private Limited

with its registered office situated at
3rd Floor, Vatika Business Park, Block-III
Sector-49, Sohna Road, Gurugram 122018
CIN: U72300HR1997PTC103072

….Transferor Company/ Petitioner Company No. 1

AND

McKinsey Knowledge Centre India Private Limited

with its registered office situated at
3rd Floor, Vatika Business Park, Block-III Sector-49,
Sohna Road, Gurugram 122018
CIN: U72200HR1999PTC103071

. .. Transferee Company/ Petitioner Company No. 2

Order delivered on: 24.08.2023

Coram: HON'BLE MR. HARNAM SINGH THAKUR, MEMBER (JUDICIAL)
HON'BLE MR. SUBRATA KUMAR DASH, MEMBER (TECHNICAL)

Present:

For the Petitioner Companies: **Mr. Rahul Jogi, Advocate**
Mrs. Deepali Garg, PCS
Ms. Shagun Taneja, PCS
For Income Tax Department : **Mr. Yogesh Putney, Senior Standing Counsel**

Per: Mr. Harnam Singh Thakur, Member (Judicial)

JUDGEMENT

1. This is a joint second motion application filed by the Petitioner Companies namely: McKinsey Global Services India Private Limited (Transferor Company/ Petitioner Company No. 1) and McKinsey Knowledge Centre India Private Limited (Transferee Company/ Petitioner Company No. 2) under Sections 230-232 of the Companies Act, 2013 (the Act) and other applicable provisions of the Act read with

Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (the Rules) in relation to the Scheme of Amalgamation between the Petitioner Companies. The Petitioner Companies have prayed for sanctioning of the Scheme of Amalgamation between the respective Companies. The said Scheme is attached as Annexure-1 of the Application.

2. The Petitioner Companies have filed the first motion application bearing CA (CAA) No. 35/Chd/Hry/2022 before this Tribunal for seeking directions for dispensing with the meetings of Equity Shareholders, Secured and Unsecured Creditors of both Petitioner Companies. The First motion application was disposed of vide order dated 22.08.2022, with directions to dispense with the meetings of Equity Shareholders, Secured and Unsecured Creditors of both Petitioner Companies for the reasons mentioned in the aforesaid order.

3. It is submitted that the registered offices of both the Petitioner Companies are at 3rd Floor, Vatika Business Park, Block-III, Sector-49, Sohna Road, Gurugram 122018 which are situated in the State of Haryana, therefore, the territorial jurisdiction of both the Petitioner Companies' fall with this Bench.

4. The main objects, date of incorporation, authorized and paid-up share capital, and the rationale of the Scheme had been discussed in details in the first motion order dated 22.08.2022.

5. In the second motion proceedings, certain directions were issued by this Tribunal vide order dated 22.09.2022 and in compliance of such directions, a compliance affidavit was filed vide Diary No. 02032/01 dated 21.11.2022. The notice of hearing was published in "Business Standard" (English) and "Business Standard" (Hindi) both in Delhi editions on 01.10.2022. The original clippings of newspapers are attached as Annexure-6 of the aforesaid affidavit. It has also stated in the affidavit that copies of notices were served upon the (a) Central Government through Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi; (b) Registrar of Companies, NCT of Delhi and Haryana; (c) Official Liquidator; and (d) Income Tax Department through the Nodal Officer-Principal Chief Commissioner of Income Tax, Aaykar Bhawan, Sector-17E, Chandigarh, by way of speed post. The original acknowledgement of service of notices sent to authorities and speed post receipts

along with the tracking report are attached as Annexures 2 to 5 of the aforesaid affidavit.

6. It is also deposed by the authorized signatories of the petitioner companies that the Petitioner Companies have not received any objection from any third party and public at large for the purpose of the present Scheme. The aforesaid affidavit is filed vide Diary No. 02032/05 dated 23.03.2023.

7. In response to the abovementioned notices, the statutory authorities have furnished their replies.

7.1. Registrar of Companies (RoC)/Regional Director (RD)

7.1.1. The Regional Director has filed his report vide Diary No. 02032/4 dated 19.01.2023. The Regional Director has sets out certain observations as stated in Clause 31 of the ROC Report dated 06.12.2022, which are reproduced as below:

- *"As per clause 12.1 of the Proposed scheme all the main objects as well as all the incidental objects and/or ancillary objects in the MOA of the Transferor Company shall be added to the object clause of MOA of the Transferee Company, to the extent such objects are not ready covered by those of the Transferee Company. This is subject to compliance of applicable Rules and provisions of the Companies Act, 2013.*
- *As per Annexure A to the Independent Auditor's Report of the Transferor company on the financial statements for the year ended 31.03.2021, statement of Disputed statutory dues outstanding on account of any disputes are given."*

7.1.2. It is further submitted by the Regional Director that as per reply dated 20.12.2022, the Petitioner Company has mentioned that they have certain disputed tax liabilities for which appeals have been filed.

7.1.3. The petitioner companies have filed reply by Diary No. 02032/6 dated 23.03.2023. The petitioner companies have stated that Section 230 to 232 of the Companies Act, is a complete code in itself and sanction of a scheme of amalgamation acts as a single window clearance for all things for which specific procedure has been prescribed under the companies law in order to avoid duplication of the processes. Reliance is placed on the Judgement of Hon'ble High Court in ***Re PMP Auto Industries Ltd*** *[1994] 80 Comp Cas 289 (Bom)* wherein it has been held that company court is vested with wide

powers under Section 391 of the Companies Act, 1956 to approve, while sanctioning the scheme, those things for the effectuation of which a special procedure is required to followed.

7.1.4. In respect of the outstanding disputed statutory dues and pending liabilities of the Transferor Company, the Petitioner Companies have stated that in terms of clause 11.2 and 13 of the Scheme, all suits, actions, and other proceedings including legal and taxation proceedings by or against the Transferor Company pending and/ or arising on or before the Effective Date shall be continued and/or enforced as desired by the Transferee Company and on and from the Effective Date shall be continued and /or enforced by or against the Transferee Company as effectually and in the same manner and to the same extent as if the same had been originally instituted and/or pending and/or arising by or against the Transferee Company.

7.1.5. Thus, no adverse observation can be inferred from the report of the Regional Director.

7.2. Official Liquidator

7.2.1. The Official Liquidator has filed his report vide Diary No. 02032/4 dated 19.01.2023. The Official Liquidator in his report has stated that as per Auditor's report for the financial years ending on 31.03.2020, 31.04.2021 and 31.03.2022, there are dues outstanding in respect of income tax, service tax, duty of customs, duty of excise, value added tax on account of any dispute are given. The Official Liquidator has also stated the details of the pending litigations/investigations against the Transferor Company.

7.2.2. The petitioner companies have filed reply by Diary No. 02032/7 dated 23.03.2023 stating that in terms of clause 11.2 and 13 of the Scheme, all suits, actions, and other proceedings including legal and taxation proceedings by or against the Transferor Company pending and/ or arising on or before the Effective Date shall be continued and/or enforced as desired by the Transferee Company and on and from the Effective Date shall be continued and /or enforced by or against the Transferee Company as effectually and in the same manner and to the same extent as if the

same had been originally instituted and/or pending and/or arising by or against the Transferee Company. The Transferee Company has undertaken to pay the outstanding disputed statutory dues and liabilities arising from the on-going litigations of the Transferor Company upon sanction of the Scheme by the Hon'ble Tribunal, subject to the right of appeal available to the Transferee Company under applicable laws and crystallization of such tax dues/liabilities by the appellate authorities.

7.2.3. Thus, no adverse observation can be inferred from the report of the Official Liquidator.

7.3. Income Tax Department

7.3.1. The Income Tax Department has filed his report vide Diary No. 02032/8 dated 17.04.2023 and Dairy No. 204 Dated 22.11.2022. The Income Tax Department in his report has stated that there is a demand pending amounting to Rs. 13,277/- for A.Y. 2002-03, Rs. 26,648/- for A.Y. 2005-06, Rs. 5,42,660/- for A.Y. 2005-06, Rs. 99,57,628/- for A.Y. 2010-11 and Rs. 74,62,370/- for A.Y. 2017-18 in respect of the Transferor Company and there is no demand pending in respect of Transferee Company.

7.3.2. The petitioner companies have filed reply by Diary No. 02032/9 dated 27.04.2023 stating that in terms of clause 11.2 and 13 of the Scheme, all suits, actions, and other proceedings including legal and taxation proceedings by or against the Transferor Company pending and/ or arising on or before the Effective Date shall be continued and/or enforced as desired by the Transferee Company and on and from the Effective Date shall be continued and /or enforced by or against the Transferee Company as effectually and in the same manner and to the same extent as if the same had been originally instituted and/or pending and/or arising by or against the Transferee Company. The Transferee Company has undertaken to pay the outstanding disputed statutory dues and liabilities arising from the on-going litigations of the Transferor Company upon sanction of the Scheme by the Hon'ble Tribunal, subject to the right of

appeal available to the Transferee Company under applicable laws and crystallization of such tax dues/liabilities by the appellate authorities.

7.3.3. Thus, no adverse observation can be inferred from the report of the Income Tax Department.

8. The certificate of the Statutory Auditors with respect to the Scheme between Petitioner Companies to the effect that the accounting treatment proposed in the Scheme is in compliance with applicable Accounting Standards as specified in Section 133 of the Act, read with Rules thereunder and other Generally Accepted Accounting Principles was filed with the application as Annexure 12.

9. We have heard the learned Senior Counsel and others for petitioner companies and learned Senior Standing Counsel for the Income Tax Department and perused the records carefully.

10. In the context of the above discussion, the Scheme contemplated between the Petitioner Companies, appears to be prima facie in compliance with all the requirements stipulated under the relevant Sections of the Companies Act, 2013. As the objections from the Statutory Authorities have been duly addressed by the Petitioner Companies and since all the requisite statutory compliance have been fulfilled, this Tribunal sanctions the Scheme of Amalgamation appended as Annexure 1 with the petition.

11. Notwithstanding the submission that no investigation is pending against the petitioner companies, if there is any deficiency found or, the violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with the law, against the concerned persons, directors and officials of the petitioners.

12. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

THIS TRIBUNAL DO FURTHER ORDER:

i. That all the property, rights and powers of the Transferor Company be transferred, without further act or deed, to the Transferee Company and accordingly, the same shall pursuant to Sections 230 to 232 of the Companies Act, 2013, be transferred to and vested in the Transferee Company for all the estate and interest of the Transferor Company but subject nevertheless to all charges now affecting the same;

ii. That all the liabilities and duties of the Transferor Company be transferred, without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Sections 230 to 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company;

iii. All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Company are entitled to include under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Company as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives and concessions;

iv. All contracts of the Transferor Company which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favour of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

v. That the Appointed Date for the Scheme shall be **01.04.2022** as specified in the Scheme;

vi. That the proceedings, if any, now pending by or against the Transferor Company be continued by or against the Transferee Company;

vii. That the employees of the Transferor Company shall be transferred to the Transferee Company in terms of the 'Scheme';

viii. That the Transferee Company shall, without further application, allot to the existing members of the Transferor Company shares of Transferee Company to which they are entitled under the said Scheme;

ix. That the fee, if any, paid by the Transferor Company on its authorized capital shall be set off against any fees payable by the Transferee Company on its authorized capital subsequent to the sanction of the 'Scheme';

x. That the assessment under the Income Tax Act will be in accordance with the provisions of Section 170 (2A) of the Income Tax Act, 1961;

xi. That the Transferee Company shall file the revised memorandum and articles of association with the Concerned Registrar of Companies and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company; after setting off the fees paid by the Transferor Companies;

xii. That the Petitioner Companies shall, within 30 days after the date of receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Company shall be dissolved without undergoing the process of winding up. The concerned Registrar of Companies shall place all documents relating to the Transferor Company registered with him on the file relating to the said Transferee Company, and the file relating to the Transferor Company and Transferee Company shall be consolidated accordingly, as the case may be;

xiii. That the petitioner companies shall file an affidavit that they have made compliance of applicable Rules and Provision of Companies Act with respect to the amendments of the Memorandum of Articles within 30 days of this order;

xiv. That any person interested shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

13. As per the aforesaid directions, formal orders in Form No. CAA-7 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 be issued after filing

a) the affidavit to the effect that the petitioner companies have complied with the applicable Rules and Provision of Companies Act with respect to the amendments of the Memorandum of Articles and

b) Filing of the Schedule of Properties.

14. All the concerned Regulatory Authorities to act on a copy of this order annexed with the Scheme duly authenticated by the Registrar of this Bench.

15. The Company Petition CP (CAA) No.64/Chd/Hry/2022 is allowed and disposed of accordingly.

Sd/-

(Subrata Kumar Dash)
Member (Technical)

Sd/-

(Harnam Singh Thakur)
Member (Judicial)

August 24, 2023
SA